Another tax matter where the Central government has acted in its interest at the cost of the states relates to appropriating additional tax revenues on petrol and diesel by imposing non-shareable cesses and surcharges. International crude prices in the first half of 2020–21 averaged less than two-third the prices prevalent the previous year. The space created for consumer price reduction by this fall in international prices was used for imposing non-shareable infrastructure cess on diesel and petrol. The effective incidence of excise duty and cesses appropriated by the Centre makes up about 40 per cent of the final consumer price of diesel and petrol. Expanding non-shareable taxes hits at the root of fiscal federalism.

In the matter of grants from the Centre to the states, the juggernaut of CSSs rolls on. In addition, a number of new schemes of the same nature have been introduced. As noted above, as per Budget 2020–21, the size of CSSs is over 40 per cent of total shareable central taxes.

A more significant change is taking place in the matter of delivery of CSSs. CSSs have traditionally always been implemented by states through their budgets or agencies. The Centre never implemented them directly or through its agencies. With increased interest in direct delivery to the end beneficiary, the Central government has now put in place a direct benefit delivery system, using the banking system, under its control. In this system, the central ministries and departments are able to transfer funds directly into the accounts of beneficiaries with states having no real presence or say in the matter.

For the first time in India, the general public has started recognizing which benefits are being provided by the Centre and the state government. As the Centre runs and funds the larger part of CSSs, even though the subject might be in the constitutional domain of the states, there is increasing evidence of people attributing these schemes to the Centre. Even where schemes are implemented through state governments and they